Calendar Line 4

Case Name: Valdez v. HSSG Inc., et al. (Class Action)
Case No.: 24CV435535

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 6, 2025, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and representative action arising from alleged violations of wage and hour laws. On April 18, 2024, plaintiff Jose de Jesus Lopez Valdez began this action by filing a Class Action Complaint against defendants HSSG Inc., Hatcheri LLC, Hatcheri Foods Inc., and Hatcheri Food Platform SPV, LP (collectively, "Defendants"). On June 13, 2024, Plaintiff filed the operative First Amended Complaint, asserting causes of action for: (1) failure to pay overtime wages; (2) failure to pay minimum wages; (3) failure to pay all hours worked; (4) meal period violations; (5) rest period violations; (6) wage statement violations; (7) failure to reimburse expenses; (8) failure to pay final wages; (9) unfair competition; and (10) Private Attorneys General Act ("PAGA").

The parties have reached a settlement, and Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. Legal Standard for Settlement Agreements

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc*. (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

> In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra,* 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Wershba*, *supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp*. (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public …."], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O'Connor, supra,* 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

II. Discussion

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

> [A]ll non-exempt employees who worked or continue to work for HSSG in California at any time between April 18, 2020 up to the Preliminary Approval Date.

(See Exhibit List and Exhibits in Support of Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement, Ex. A ("Agreement"), ¶ 1.5.) The settlement includes a subset PAGA class of Aggrieved Employees, defined as: "all non-exempt employees who worked or continue to work for HSSG in California at any time between June 13, 2023 up to the Preliminary Approval Date." (*Id.* at ¶ 1.2.)

Defendant will pay a gross settlement amount of $225,000. This amount includes attorney fees of up to one-third of the gross settlement amount (i.e., $74,250); litigation costs not to exceed $12,000; a PAGA allocation of $10,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to $10,000; and settlement administration costs up to $7,000. The net settlement amount will be distributed to participating class members on a pro-rata basis according to the number of workweeks they were employed by Defendant. Individual PAGA payments will be distributed according to the number of pay periods worked. The parties proposed ILYM Group, Inc. ("ILYM") as the neutral entity appointed to administer the settlement. The court approves and appoints ILYM as the settlement administrator.

The Agreement further provides that any funds from settlement checks remaining uncashed after the void date (180 days after mailing) shall be donated in equal parts to the Capital Pro Bono, Inc., and the Center for Workers' Rights as the designated *cy pres* recipients, in compliance with Code of Civil Procedure section 384, which mandates that unclaimed or abandoned class members' funds be given to "nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent." The Court approves of the *cy pres* designations.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons "from all class claims that are alleged in the operative Complaint, and any additional wage and hour claims that could have been brought based on the facts alleged in the Complaint, through the Class Period." (Agreement, ¶¶ 1.30, 1.32.) Aggrieved Employees are deemed to release Defendant and related entities and persons "from all claims that were brought under the PAGA, Labor Code §§ 2698, et seq. in the operative Complaint, contained in Plaintiff's notice letter to the LWDA, and any additional wage and hour PAGA claims that could have been brought based on the facts alleged in Plaintiffs notice letter to the LWDA and the operative Complaint during the PAGA Claim Period." (*Id.* at ¶¶ 1.31, 1.32.)

The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the Agreement warrants preliminary approval because it is fair, reasonable, and adequate. (Motion, pp. 7-14.) Plaintiffs' counsel states that the parties participated in mediation with Russ J. Wunderli on December 6, 2024. (Shimoda Decl., ¶ 9.) Prior to mediation, Plaintiff's counsel reviewed a substantial number of documents and informal discovery during the investigation of the claims, including a 20% representative sampling of employee data. (*Id.* at ¶¶ 6, 8.) Defendants contended that financial restraints impacted their ability to pay any settlement beyond the gross settlement amount, and Plaintiff's counsel reviewed Defendant's financial records to verify this claim. (*Id.* at ¶ 7.)

Plaintiff's counsel provides a detailed analysis of the valuation of the claims and the reductions applied for purposes of settlement. (Shimoda Decl., ¶ 10.) Based on the investigation of Plaintiff's counsel, there were approximately 185 Class Members who worked 8,418 weeks in the Class Period, 118 Aggrieved Employees who worked 2,471 pay periods during the PAGA Claim Period, an average base hourly rate of approximately $20.41, and an average overtime rate of approximately $30.62. (*Id.* at ¶ 10.) Based on the analysis by Plaintiff's counsel, the gross settlement amount of $225,000 represents approximately 5.8% of the maximum value of all claims in this matter ($3,822,837.66) and between 16% and 52% of the more realistic range of recovery ($432,692.31 to $1,406,250.00). (*Id.* at ¶ 11.) Therefore, the proposed settlement amount is within the general range of percentage recoveries that California courts have found to be reasonable. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

The court has reviewed Plaintiff's written submissions and is satisfied that the settlement is fair and may be approved.

C. Service Award, Fees and Costs

Plaintiff requests a service award of $10,000. (Motion, p. 15.)

> The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff has provided a declaration describing his participation in this action, and he estimates he has spent approximately 80-100 hours assisting his attorneys litigating this case. The Court will make a determination regarding the approved service award at the final approval hearing.

The Court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiff's counsel will seek attorney fees of up to one-third of the gross settlement amount (i.e., $74,250). Prior to the final approval hearing, Plaintiff's counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." California Code of Civil Procedure Section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court . . .." As interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class; and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326 (*Sav-On*).)

The "community-of-interest" requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and, (3) class representatives who can adequately represent the class. (*Sav-On, supra*, 34 Cal.4th at p. 326.) "Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing." (*Linder v. Thrifty Oil Co*. (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield "substantial benefits" to both "the litigants and to the court." (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) As explained by the California Supreme Court,

> The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.

(*Sav-On, supra*, 34 Cal.4th at p. 326, internal punctuation and citations omitted.)

Plaintiffs state there are approximately 185 class members, who can be identified from a review of Defendant's records. There are common questions regarding whether class members were subjected to common practices that violated wage and hour laws. No issue has been raised regarding the typicality or adequacy of Plaintiff as class representative. Therefore, the court finds that the proposed class should be conditionally certified for settlement purposes.

E. Class Notice

The content of a class notice is subject to court approval. “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court.” (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the form of the notice is generally adequate. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and payment to the named plaintiff. The notice informs class members that they may appear at the final fairness hearing to make an oral objection without filing a written objection.

However, the following language regarding the final approval hearing shall be added to the notice prior to its mailing:

> Class members may appear at the final approval hearing in person or remotely using the Microsoft Teams link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:
>
> https://www.scscourt.org/general_info/ra_teams/video_hearings_teams.shtml
>
> Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above addition to the notice prior to its mailing, the notice is approved.

IV. Conclusion

The motion for preliminary approval of the settlement is GRANTED.

The final approval hearing is set for February 18, 2026 at 1:30 p.m. in Department 19.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Case Management Conference at 2:30 p.m. is VACATED.

Calendar Line 5

Case Name: Strawbuck v. Equity Lifestyle Properties
Case No.: 22CV398628

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 6, 2025, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

I. Introduction

This is a representative action arising from alleged violations of wage and hour laws. On May 26, 2022, plaintiff Kristin Strawbuck filed a Class Action Complaint against defendant Equity LifeStyle Properties, Inc. ("ELS"). On August 3, 2022, Plaintiff filed a First Amended Class and Representative Action Complaint. On January 8, 2025, Plaintiff filed the operative Second Amended Representative Action Complaint against defendants ELS and MHC Property Management, L.P. ("MHC") (collectively, "Defendants"), setting forth a sole cause of action for civil penalties under the Private Attorneys General Act ("PAGA").

The parties have reached a settlement. Plaintiff now moves for approval of the settlement, and the motion is unopposed. The Court continued the motion from July 30 for further hearing for counsel to provide a copy of Plaintiff's separate settlement agreement, and counsel has done so. As discussed below, the Court has reviewed the written submissions and is satisfied that the motion may be GRANTED.

II. Legal Standard

Under PAGA, an aggrieved employee may bring a civil action personally and on behalf of other current or former employees to recover civil penalties for Labor Code violations. (*Iskanian v. CLS Transp. Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 [2022 U.S. LEXIS 2940].) Seventy-five percent of any penalties recovered go to the Labor and Workforce Development Agency ("LWDA"), leaving the remaining 25 percent for the employees. (*Ibid*.) PAGA is intended "to augment the limited enforcement capability of [the LWDA] by